

Stock Market Basics

A Research Report on the Stock Market, Primary & Secondary Markets, and the Role of SEBI in India

Every modern economy needs a mechanism through which businesses can raise capital and individuals can grow their savings. The stock market performs exactly this function. This report explains the basic structure of the stock market, the distinction between its primary and secondary segments, and the regulatory role played by the Securities and Exchange Board of India (SEBI) in keeping the Indian market fair and transparent.

1. What Is the Stock Market?

The stock market is an organized marketplace where shares (also called stocks or equities) of publicly listed companies are issued, bought, and sold. When a company wants to raise money for expansion, research, or other business needs, it can offer ownership stakes, in the form of shares, to the public. Investors who purchase these shares become part-owners of the company and stand to gain through price appreciation and dividends, while also bearing the risk of loss if the company performs poorly.

In India, the two principal stock exchanges are the Bombay Stock Exchange (BSE), established in 1875 and one of Asia's oldest exchanges, and the National Stock Exchange (NSE), known for introducing electronic and screen-based trading. These exchanges provide the physical and technological infrastructure for trading, but they do not buy or sell securities themselves; they simply bring buyers and sellers together under a defined set of rules.

The stock market serves several important economic functions:

- **Capital formation:** It channels household and institutional savings into productive business investment, fuelling economic growth.
- **Liquidity:** It allows investors to convert their shareholdings into cash quickly, which encourages more people to invest in the first place.
- **Price discovery:** Continuous buying and selling helps determine a fair market price for a company's shares based on its perceived value and prospects.
- **Wealth creation:** Long-term participation in the stock market has historically helped investors build wealth that can outpace inflation.
- **Corporate discipline:** Listed companies are subject to public scrutiny and disclosure norms, which encourages better governance and accountability.

2. Primary Market vs. Secondary Market

The stock market is broadly divided into two interconnected segments: the primary market and the secondary market. Understanding the difference between them is essential to understanding how capital actually moves from investors to companies.

2.1 The Primary Market

The primary market is where new securities are created and sold for the very first time. A company raises fresh capital directly from investors here, and the proceeds go straight to the company's treasury. The most common route is an Initial Public Offering (IPO), through which a privately held company offers its shares to the public for the first time and becomes a listed entity. Companies that are already listed can raise further capital through Follow-on Public Offers (FPOs), rights issues offered to existing shareholders, or private placements to select institutional investors.

2.2 The Secondary Market

Once shares have been issued in the primary market, they are listed on a stock exchange where investors can buy and sell them among themselves. This is the secondary market, and it is what most people picture when they think of "the stock market" or watch live ticker prices on financial news channels. In the secondary market, money changes hands between investors; the company whose shares are being traded does not receive any new funds from these transactions. Its core value lies in providing liquidity and continuous, transparent price discovery for securities that have already been issued.

2.3 Key Differences at a Glance

Aspect	Primary Market	Secondary Market
Nature of transaction	New securities are issued for the first time	Existing securities are traded between investors
Who receives the money	The issuing company	The selling investor (not the company)
Common mechanism	IPO, FPO, rights issue, private placement	Buying/selling listed shares on an exchange
Pricing	Fixed price or book-built price band set by the issuer	Determined continuously by market demand and supply
Where it happens	Directly between company and investors (via merchant bankers)	On stock exchanges such as BSE and NSE

In short, the primary market is about *creating* securities and raising fresh capital, while the secondary market is about *trading* securities that already exist. The two are complementary: a healthy, liquid secondary market makes investors more willing to subscribe to new issues in the primary market, since they know they will be able to exit their investment later if needed.

3. Role of SEBI in India

The Securities and Exchange Board of India (SEBI) is the statutory regulator of India's securities market. It was established under the SEBI Act, 1992, and is headquartered in Mumbai, with regional offices in cities such as New Delhi, Kolkata, and Chennai. SEBI had first come into existence in 1988 but did not possess statutory powers until 1992; before that, India's capital markets operated with very limited regulatory oversight, which left investors exposed to fraud, price manipulation, and

malpractice.

SEBI's core mandate is to protect the interests of investors in securities and to promote and regulate the securities market. It carries out this mandate through three broad categories of function, often described as regulatory, developmental, and protective.

3.1 Regulatory Functions

- Registering and regulating market intermediaries such as stock brokers, sub-brokers, share transfer agents, merchant bankers, portfolio managers, and investment advisers.
- Registering and overseeing depositories, custodians, foreign institutional investors, credit rating agencies, mutual funds, venture capital funds, and collective investment schemes.
- Issuing rules that companies, brokers, and other market participants must follow, so that the market remains fair for everyone.

3.2 Developmental Functions

- SEBI supports growth and innovation by allowing new investment products and trading systems while keeping the market modern and efficient.
- It has driven major reforms over the years, including paperless trading, electronic settlements, and the move to a T+1 settlement cycle, which have improved market efficiency.
- It promotes investor education and works on simplifying market rules and procedures.

3.3 Protective Functions

- SEBI protects investors by acting against insider trading, unfair practices, and price manipulation, and by checking that companies disclose correct information to the public.
- It can investigate and inspect market participants, call for records from registered entities, and in cases of suspected fraud, search and seize documents.
- SEBI can impose fines, suspend licenses, or permanently ban brokers and unregistered advisors for serious or repeated violations.
- Investors can lodge complaints against listed companies, brokers, and mutual funds through SCORES, SEBI's online grievance redressal portal.

SEBI is governed by a Board that includes a Chairman nominated by the Union Government, members from the Ministry of Finance, a member from the Reserve Bank of India, and additional members appointed by the Central Government. This structure is intended to give SEBI both independence from market participants and accountability to the government and the public it ultimately serves.

4. Conclusion

The stock market is a vital pillar of any modern economy, allowing companies to raise capital and investors to participate in wealth creation. The primary market is where this capital is first raised through the issuance of new securities, while the secondary market provides the liquidity and price discovery that make such investment attractive in the first place. Holding this entire system together in India is SEBI, whose regulatory, developmental, and protective functions work to ensure that the

market remains fair, transparent, and trustworthy for every participant, from large institutions to first-time retail investors.

*Prepared as a research report on stock market fundamentals | Sources: SEBI and market-regulation publications
referenced for current factual details.*